US Daily: Why Has the US Economy Been So Resilient to Higher Rates and Higher Oil Prices?

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- We estimate that the economy grew at a 3.4% pace in Q3 and forecast 2.2% growth in 2026 overall on a Q4/Q4 basis, close to our estimate of potential GDP growth and only 0.3pp below our start-of-the-year forecast before the large increases in interest rates and oil prices. Why, we are often asked, has the US economy proven so resilient to these shocks?
- While interest rates have risen substantially this year, our financial conditions index framework implies that the economic impact should be nearly offset by the effects of higher equity prices, narrower credit spreads, and a weaker dollar, resulting in only a 0.1pp net hit to 2026 GDP growth. While the net impact of this year's market moves on overall GDP is modest, the effects on some parts of the economy—especially the hit to housing—are more meaningful.
- We estimate that the increase in oil and refined product prices this year, together with the path our commodities strategists expect through year-end, will subtract 0.3pp from 2026 growth. The drag comes from consumption as higher energy prices erode real purchasing power. While US energy producers were reluctant to boost investment when oil prices first rose, the increase in the rig count index in recent months points to some offsetting boost to GDP in Q3 and Q4.
- Our analysis suggests that slightly tighter financial conditions and higher oil prices should together be roughly a 0.4pp drag on GDP growth. The downgrade we have made to our forecast for the year, in part based on incoming data, is only slightly smaller than that, with the slight outperformance coming largely from consumer spending. This suggests that the economy's resilience is less puzzling than it might appear at first.

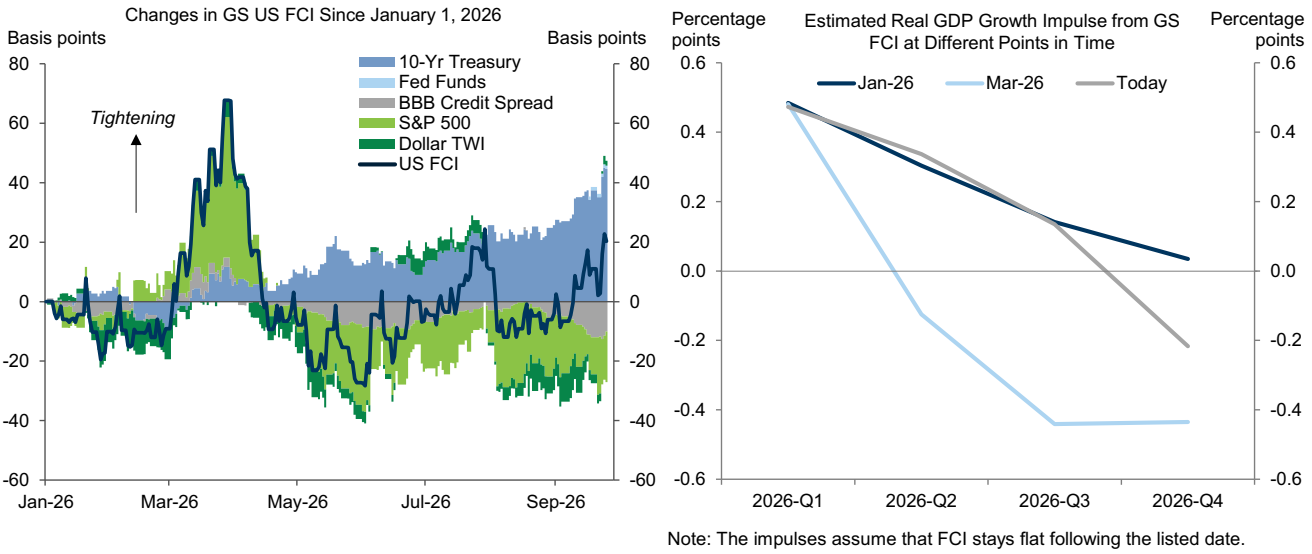
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Why Has the US Economy Been So Resilient to Higher Rates and Higher Oil Prices?

We now estimate that the economy grew at a 3.4% pace in Q3 and forecast 2.2% growth in 2026 overall on a Q4/Q4 basis, close to our 2.3% estimate of potential GDP growth and only 0.3pp below our start-of-the-year forecast when we did not expect large increases in interest rates and oil prices. In today's *Daily*, we ask why the US economy has proven so resilient to these surprises.

Part of the answer is that financial conditions have changed little on net since January, as the substantial rise in interest rates has been nearly offset by the effects of higher equity prices, narrower credit spreads, and a weaker dollar (Exhibit 1, left). Our estimated GDP growth impulse from the FCI is therefore little changed from the start of the year (Exhibit 1, right), implying only a 0.1pp hit to 2026 Q4/Q4 GDP growth.

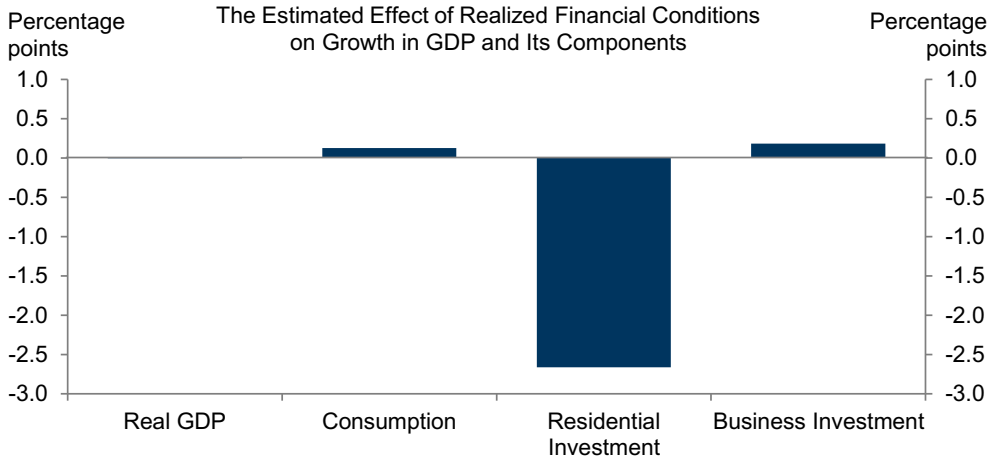
Exhibit 1: Our Overall Financial Conditions Index and the Implied Impulse to GDP Growth Have Changed Little Since the Start of the Year, as Higher Interest Rates Have Been Offset by Tighter Credit Spreads, Higher Equity Prices, and a Weaker Dollar



Source: Goldman Sachs Global Investment Research

While the net impact of this year's market moves on overall GDP is modest, the effects on some components of GDP are more meaningful. We use the Fed's macroeconomic model FRB/US to estimate how the particular combination of market moves this year should affect each component of GDP. We find a meaningful hit from higher rates to residential investment, offset by slight boosts to consumption and business investment (Exhibit 2).

Exhibit 2: This Year's Combination of Market Moves Should Have Only a Modest Effect on Overall GDP, but Will Impose a Larger Drag on Residential Investment, Which Is More Sensitive to Higher Interest Rates



Note: Estimates are calculated using FRB/US simulations comparing Q4/Q4 growth for each component under this year's changes in market conditions versus a counterfactual where conditions were unchanged from the start of the year.

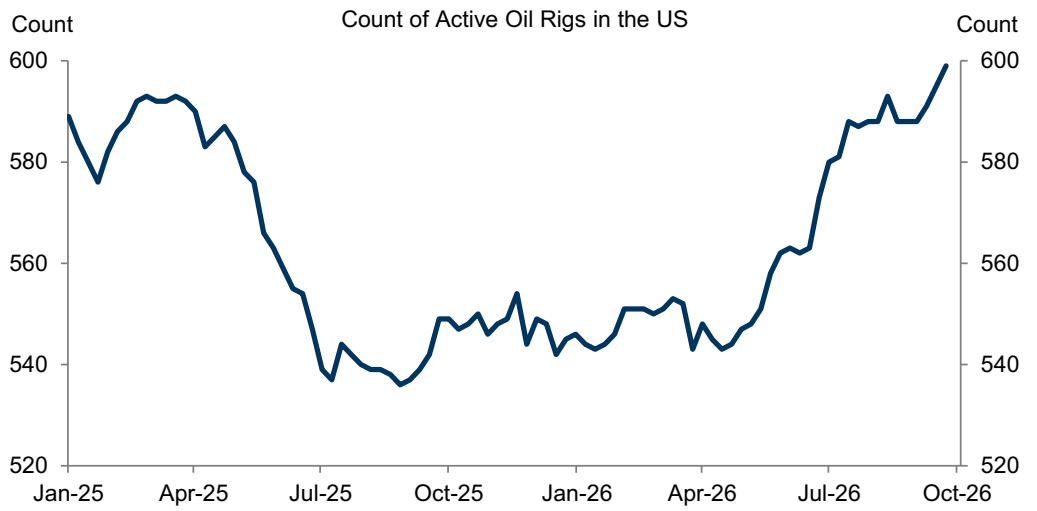
Source: Goldman Sachs Global Investment Research, Federal Reserve Board

What about the effect of higher oil and refined products prices? Our rule of thumb implies that a sustained $10/barrel increase in oil prices lowers GDP growth by just over 0.1pp through the consumption channel as higher energy costs erode real purchasing power. Applied to the path oil prices have taken this year, the unusual widening in refined product spreads, and our commodities strategists' forecasts for prices through year-end, the rule of thumb implies a 0.4pp drag on GDP growth.

While US oil producers were initially reluctant to respond to higher prices by increasing capex because of the uncertainty of the war with Iran and the outlook for oil prices, the increase in the rig count index in Q3 (Exhibit 3) points to a pickup in energy capex more recently. We estimate that the consumption drag and capex boost will net out to a 0.3pp hit to GDP growth from the oil shock. Two alternative approaches, FRB/US simulations and a model estimated using exogenous oil shocks, deliver similar estimates on average.[1]

[1] We use the series of exogenous oil shocks from Känzig (2021), "The Macroeconomic Effects of Oil Supply News: Evidence from OPEC Announcements" to estimate the effects of the current oil shock on GDP growth.

Exhibit 3: The Recent Uptick in Active Oil Rigs Suggests an Offsetting Boost to Business Investment from Energy Capex Through the Second Half of the Year



Source: Goldman Sachs Global Investment Research, Baker Hughes

Our analysis suggests that slightly tighter financial conditions and higher oil prices should together be roughly a 0.4pp drag on GDP growth. The downgrade we have made to our forecast for the year, in part based on incoming data, is only slightly smaller than that, suggesting that the puzzle of economic resilience is smaller than it might appear at first.

The economy's slight outperformance relative to what we might have expected largely comes from consumer spending. At the start of the year, we forecasted consumption growth of 2.4% in 2026 Q4/Q4. Under the market and commodity price moves that actually materialized, our oil shock model implies a 0.6pp hit to that forecast, partially offset by a 0.2pp boost from higher equity prices in our wealth effects model, netting to an expected 2.0% growth in consumption this year. Against that, we now estimate—in part based on the surprisingly solid incoming data in recent months—that consumption will grow 2.2%, a modest upside surprise of 0.2pp.

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